Saipem – Subsea7

MN-01072

Decision

Acquisition is to be subject to Phase 2 review

2 July 2026

1. Decision

1.1. On 27 April 2026, Saipem S.p.A (**Saipem**) and Subsea7 S.A. (**Subsea7**) (together, the **Parties**) lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of a merger agreement to combine the two businesses (the **Acquisition**).

1.2. The ACCC has decided under section 51ABZJ(1) of the *Competition and Consumer Act 2010* (Cth) that the Acquisition is to be subject to Phase 2 review (**Phase 2 Notice**).

1.3. The ACCC is satisfied that the Acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.

1.4. If the notifying party continues with the Phase 2 review, it must pay the applicable Phase 2 fee by 13 July 2026. If the fee is not paid by the due date, the ACCC is taken to have decided to cease considering the notification.

2. Parties to the Acquisition

The principal party – Saipem

2.1. Saipem is a global engineering and construction company, based in Italy, that provides services for the oil and gas industries, across both offshore and onshore projects.

2.2. Saipem operates a fleet of pipelaying and other vessels through which it provides these services.

The other party – Subsea7

2.3. Subsea7 is a global engineering and construction company, based in Luxembourg, that provides services for the offshore oil and gas industries.

2.4. Subsea7 also operates a fleet of pipelaying and other vessels through which it provides these services.

Industry background and overlap between the parties

2.5. The Parties each provide services in the supply of design, engineering, procurement, fabrication, construction and installation for the Offshore Engineering, Construction and Maintenance (**OECM**) industry, a broad category of services provided to offshore oil and gas projects. They operate globally and provide services to offshore projects in Australian territory, such as off the Pilbara coast of Western Australia.

2.6. Such services include the design, engineering, procurement, fabrication and installation of subsea infrastructure composed of equipment plus pipelines and cables that connect subsea wells and production systems to certain surface facilities. Subsea umbilicals, risers and flowlines (together referred to by the **SURF** acronym) are used to make these connections. **SURF services** refer to the range of services provided to offshore oil and gas projects to put this equipment in place.

2.7. Offshore oil and gas projects that require SURF services have varying requirements and market dynamics, informed by location, geographic conditions (water depth, climate, harshness of environment), the technical requirements of the project and the regulatory landscape.

2.8. Various pipelay methods can be used in offshore projects requiring SURF services:

- flexible lay ('flex-lay')
- rigid lay (S-lay, J-lay and reel-lay).

2.9. Suppliers of SURF services typically operate multiple vessels capable of undertaking different pipelay methods. In the case of the merger parties:

- Saipem's fleet comprises flex-lay, J-lay and S-lay vessels
- Subsea7's fleet comprises flex-lay, J-lay and reel-lay vessels.

2.10. The Parties also both supply inspection, repair, maintenance and decommissioning services for offshore oil and gas projects, and infrastructure for offshore wind farms. However, based on the materials before it, which suggest multiple alternatives for these services in Australia, the ACCC does not propose to consider these overlaps further.

3. Basis for Phase 2 Notice

3.1. During Phase 1, the ACCC may decide that a notification of an acquisition is to be subject to Phase 2 review if it is satisfied that the acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.

3.2. The basis for the ACCC's Phase 2 Notice is explained below, including the nature of the theories of harm that form the basis for the ACCC's satisfaction and the matters the ACCC intends to investigate before making a determination.

3.3. The ACCC has taken into account the material received during its Phase 1 assessment. Material received includes information provided by the Parties in the notification and in response to information requests, and materials from third parties including customers and competitors.

3.4. The ACCC invites submissions from interested parties on the matters that the ACCC intends to investigate further as outlined in the boxes below and any other relevant matters. Submissions should be provided by **21 July 2026** via email to mergers@accc.gov.au with the title *Submission re: Saipem– Subsea7*.

Relevant areas of competition

3.5. The ACCC considers that the relevant area of competitive overlap for the purposes of its assessment of the competitive effects of the Acquisition is the supply of SURF services in Australia.

3.6. In terms of the geographic dimension of competition, the ACCC has focused its review on the effect of the Acquisition on competition in Australia. While the Parties and their competitors operate globally, the ACCC understands that SURF projects in Australia have specific requirements and dynamics, both geographic and environmental; including due to the specific offshore conditions and resources.

3.7. The ACCC is continuing to assess the extent to which there may be subsegments within the supply of SURF services, including the degree to which pipelaying methods (including between rigid lay and flex-lay) and pipelaying vessels are substitutable.

Matters the ACCC intends to investigate in Phase 2

- The appropriate product dimensions of competition in the supply of SURF services to customers in Australia, including the degree to which different pipelay methods are substitutable.

Competition effects in the supply of SURF services

3.8. The ACCC is satisfied that the Acquisition could have the effect, or likely effect, of substantially lessening competition in the supply of SURF services to customers in Australia.

3.9. Based on the information currently before it, the ACCC considers:

- The Acquisition would remove competition between Saipem and Subsea7, with only a very small number of alternative SURF service suppliers available for offshore oil and gas projects in Australia.
- Post-acquisition, remaining alternative SURF service providers would be unlikely to effectively constrain the merged entity from increasing prices in response to tenders and/or reducing quality of the service provided to Australian offshore oil and gas projects, particularly where remaining alternative suppliers do not have an offering comparable to that of the Parties.
- There is unlikely to be timely and sufficient entry and/or expansion to provide an effective competitive constraint on the merged entity post-acquisition.
- Customers of SURF services are large and sophisticated. However, these services are specialised, technical and require significant resources such that customers are unlikely to constrain the exercise of market power by the merged firm. In particular, it appears unlikely that any operator could credibly threaten to bypass the merged firm by self-supplying SURF services or sponsoring a new provider of SURF services to operate in the region.

Matters the ACCC intends to investigate in Phase 2

- The geographic and technical conditions relevant to Australian SURF projects and how these affect the selection of pipelaying vessels and SURF service providers.
- The likely effect of the removal of a key provider on competition in the supply of SURF services in Australia.
- The likely extent to which remaining SURF service suppliers would meaningfully constrain the merged entity in relation to tenders in Australia, taking into account their current and prospective capability and geographic areas of operation.
- The extent to which operators of Australian offshore projects could credibly threaten to bypass the merged firm, either by self-supplying some or all SURF services and/or sponsoring new entry or expansion.
- The likelihood of timely and sufficient new entry, and consequent participation in Australian SURF project tenders, if the Acquisition proceeds.

Decision made by a division of the Commission constituted by a direction issued pursuant to section 19 of the *Competition and Consumer Act 2010* (Cth)